25901839 Scheme for Valuation
MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-BVOC (HONOURS) Regular EXAMINATION April 2026
SECOND SEMESTER
Skill Development Components (SDC) - MG2SDCBFS101 – SUSTAINABLE BANKING
(2025 ADMISSION ONWARDS)
Duration: 1 Hour 30 Minutes Maximum Marks: 50
Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)
Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.
Part A
SHORT ANSWER
Answer any 10 questions. Each question carries 2 marks

1. **Explain how climate change influences Market Risk and Asset Revaluation. [U] / [CO1]**

Climate change can reduce the value of assets affected by environmental regulations, natural disasters, or changing consumer preferences. Companies dependent on fossil fuels may face declining market value and financial losses. As a result, banks and investors may need to revalue assets and manage increased market risk.

2. **Explain how banks support renewable energy projects. [K] / [CO2]**

Banks support renewable energy projects by providing loans and financial assistance for solar, wind, and hydroelectric projects. They also offer green bonds and sustainable financing schemes to encourage clean energy investments. Such support promotes sustainable economic development and reduces carbon emissions.

3. **Give one example of climate risk affecting the operational channel of a bank. [U] / [CO3]**

Floods or cyclones caused by climate change may disrupt banking operations by damaging branch infrastructure and data centers. This can interrupt customer services and increase operational costs for banks. Thus, climate-related disasters directly affect the operational efficiency of financial institutions.

4. **Mention two ways digital banking reduces carbon emissions. [K] / [CO4]**

Digital banking reduces the use of paper through online statements and electronic transactions. It also decreases transportation-related emissions by reducing customer visits to bank branches.

5. **Explain how scenario analysis helps banks in managing future sustainability challenges. [U] / [CO1]**

Scenario analysis helps banks assess the possible financial impact of future environmental and climate-related risks. It enables banks to prepare strategies for different sustainability situations and uncertainties. This improves long-term risk management and decision-making.

6. **Define green banking. [U] / [CO1]**

Green banking refers to banking practices that promote environmental sustainability and reduce ecological damage. It involves eco-friendly financial services, paperless banking, and financing environmentally responsible projects.

7. **Describe the importance of ESG criteria in investment decisions. [K] / [CO2]**

ESG criteria help investors evaluate a company's environmental, social, and governance performance along with financial performance. These factors assist in identifying sustainable and ethically responsible investment opportunities. ESG-based investing also reduces long-term business and reputational risks.

8. **Give two examples of internal green operations in banks. [U] / [CO3]**

Using energy-efficient lighting and adopting paperless office systems are examples of internal green operations in banks. Banks also promote digital documentation and waste reduction practices to support sustainability.

9. Mention two examples of green fintech platforms. [K] / [CO4]

Aspiration and Greenly are examples of green fintech platforms. These platforms promote sustainable finance, carbon tracking, and eco-friendly financial services.

10. State two components of ESG risk in banking operations. [K] / [CO4]

Environmental risk and governance risk are two important components of ESG risk in banking operations. Environmental risk relates to climate and pollution issues, while governance risk involves unethical management practices and poor corporate governance.

11. Explain Governance Failures and Ethical Challenges in sustainability. [U] / [CO1]

Governance failures occur when organizations lack transparency, accountability, and ethical decision-making. Ethical challenges in sustainability include corruption, greenwashing, and ignoring stakeholder interests. Such failures negatively affect corporate reputation and sustainable development goals.

12. Explain how green finance helps in protecting the environment. [K] / [CO2]

Green finance supports projects related to renewable energy, pollution control, and sustainable infrastructure. It encourages environmentally responsible investments and reduces dependence on harmful industrial activities. This contributes to environmental protection and sustainable economic growth.

Part B

SHORT ESSAY

Answer any 3 questions. Each question carries 5 marks

13. Analyse the impact of environmental and social risks on the reputation of financial institutions with suitable examples. [K] / [CO3]

Environmental and social risks can significantly damage the reputation of financial institutions if they finance harmful or unethical projects. Banks associated with pollution, deforestation, or human rights violations may lose customer trust and investor confidence. Negative publicity and social criticism can reduce market value and business opportunities. For example, banks funding coal mining or environmentally harmful industries often face protests and reputational pressure from stakeholders. Therefore, responsible and sustainable banking practices are essential for maintaining a positive corporate image.

14. Explain the role of digital transformation in reducing operational costs in banks. [U] / [CO4]

Digital transformation helps banks automate routine activities such as transactions, customer service, and record management. Online banking, mobile banking, and digital payments reduce the need for physical branches and paper-based processes. This lowers administrative, labor, and operational expenses for banks. Digital technologies also improve efficiency, speed, and accuracy in banking operations. As a result, banks can provide better customer service at lower costs.

15. Explain the role of ESG integration in improving risk assessment and responsible lending. [K] / [CO3]

ESG integration helps banks evaluate environmental, social, and governance risks while making lending and investment decisions. It enables financial institutions to identify borrowers with sustainable and ethical business practices. Considering ESG factors reduces the possibility of financial losses arising from environmental damage, legal issues, or governance failures. ESG-based risk assessment also promotes responsible lending to environmentally and socially

responsible businesses. Thus, ESG integration improves long-term financial stability and sustainability.

16. **Discuss the impact of environmental and social sustainability challenges on banking operations. [K] / [CO1]**

Environmental and social sustainability challenges create various risks for banking operations. Climate change, natural disasters, and environmental regulations may affect borrowers' repayment capacity and increase credit risk. Social issues such as labor disputes and human rights violations can also affect the reputation of banks financing such activities. Banks may face operational disruptions and higher compliance costs due to sustainability-related regulations. Therefore, sustainability challenges require banks to adopt better risk management and responsible financing practices.

17. **Discuss the role of green bonds in promoting sustainable investments. [U] / [CO2]**

Green bonds are financial instruments used to raise funds for environmentally sustainable projects such as renewable energy and clean transportation. They encourage investors to support eco-friendly development activities while earning financial returns. Governments, corporations, and financial institutions issue green bonds to finance climate-related and sustainability projects. Green bonds also increase awareness and participation in sustainable investing among investors. Thus, they play an important role in promoting environmental protection and sustainable economic growth.

Part C
LONG ESSAY
Answer any 1 questions
Each question carries 15 marks

18. **Describe in detail different types of climate-related risks affecting financial institutions and explain how these risks can influence their performance and stability. [U] / [CO3]**

Climate-related risks are major challenges faced by financial institutions in the modern economy. These risks are broadly classified into physical risks, transition risks, liability risks, and operational risks. Physical risks arise from natural disasters such as floods, cyclones, droughts, and rising temperatures caused by climate change. Such events can damage properties, businesses, and infrastructure financed by banks, leading to loan defaults and increased credit risk. Transition risks occur when economies shift toward low-carbon and sustainable models. Changes in environmental regulations, carbon taxes, and technological developments may reduce the value of investments in fossil fuel and polluting industries. Liability risks emerge when companies or financial institutions face legal action for environmental damage or failure to comply with sustainability standards. Operational risks arise when climate-related events disrupt banking operations, supply chains, or information systems. Climate risks can reduce the profitability and asset quality of financial institutions. They may also increase insurance costs, compliance expenses, and reputational risks. Investors and customers may lose confidence in institutions that ignore environmental sustainability. Therefore, effective climate risk management and sustainable financing practices are essential for maintaining the long-term stability and performance of financial institutions.

19. **Discuss how digital technologies like mobile banking, artificial intelligence, blockchain, and green fintech are changing sustainable finance. [K] / [CO4]**

Digital technologies are transforming sustainable finance by improving efficiency, transparency, and accessibility in financial services. Mobile banking reduces paper usage and transportation-related carbon emissions by enabling customers to perform transactions electronically. It also promotes financial inclusion by providing banking services to remote and underserved populations. Artificial Intelligence (AI) helps financial institutions analyze large amounts of ESG and climate-related data for better risk assessment and sustainable investment decisions. AI also improves fraud detection, customer service, and operational efficiency in banks. Blockchain technology increases transparency and security in financial transactions through decentralized and tamper-proof digital records. It supports sustainable finance by improving the traceability of green bonds, carbon credits, and ethical supply chain financing. Green fintech platforms encourage environmentally responsible financial behavior through carbon tracking, digital payments, and sustainable investment tools. These technologies reduce operational costs and improve the speed and reliability of banking services. Digital innovations also help financial institutions comply with sustainability reporting and regulatory requirements. Furthermore, technology-driven sustainable finance encourages investors and businesses to adopt environmentally and socially responsible practices. Thus, digital technologies are playing a vital role in promoting sustainable and inclusive financial systems.